THE AI AGENT FACTORY
By Panaversity

AI Fluency: the 4Ds

Decide. Describe. Check. Own.

Four competencies. Three ways to work with AI. One practical habit. Foundations, The AI Agent Factory by Panaversity

A new colleague's first morning

A talented colleague joins your team. You hand her one sentence of instruction.

“Prepare a course outline on AI agents.”

Hours later: a polished outline written for PhD researchers, assuming a full semester, with almost no hands-on practice.

Was she incapable? No.

You never explained the audience, the time available, the teaching style, or what students should be able to do at the end.

The one difference with AI

A colleague learns once. AI carries nothing between conversations. Whatever you would tell a person once, you say every time or put where the AI reads it automatically.

A powerful AI still gives the wrong result when the collaboration is poor.

What AI fluency means

Working with AI systems in ways that are

Effective

You actually reach your goal.

Efficient

No wasted time, tokens, or energy.

Ethical

Honest about AI's role, fair in how you use it.

Safe

Privacy and security protected, for everyone.

Four qualities. Every one of the 4Ds serves at least one of them. Not in the definition: training a language model, the internals of transformers, or a collection of magic prompts.

A durable skill set, not a collection of prompt tricks.

The four competencies

The AI Fluency Framework, by Rick Dakan and Joseph Feller. The whole course in four questions.

Delegation

Decide

What should AI do, and what should stay with me?

Description

Explain

What does AI need to know to do the work well?

Discernment

Check

Is the result actually good and trustworthy?

Diligence

Own

Is this a responsible way to use AI, and am I ready to own the result?

Mode 1 uses general agents to solve problems. **Mode 2** builds Digital FTEs for other people. Both require AI fluency.

If you cannot work well with one AI assistant, you are not ready to design one that acts for thousands of users.

What you are actually working with

A model continues text from learned patterns. It does not look answers up.

Your prompt

Everything you state, inside the context window.

Patterns from training

Statistical relationships learned from vast text.

Plausible continuation

New text that fits, not a database lookup.

Three properties follow, and each shapes how you must work

Plausible is not correct

Confident and wrong is possible. That is a hallucination.

Output varies

Same question, different answers. Useful for ideas, risky for facts.

Knowledge has a cutoff

Nothing after training exists for the model without tools.

Treat every output as an informed draft from a capable colleague, never as ground truth.

Three modes of human and AI interaction

The difference is how much freedom the AI has to decide what to do next.

Automation

“Execute this process”

AI performs a specific task from your specific instructions.

You are the script writer

Augmentation

“Let us solve this together”

You and AI collaborate as thinking partners.

You are the co-creator

Agency

“Pursue this goal on my behalf”

AI works independently within a vision you set.

You are the director

Low AI autonomy → High AI autonomy

No mode is better. Fluency is choosing the mode the task needs, and moving between them.

Automation versus agency

"Summarize these five emails" against "Keep my inbox manageable."

	Automation	Agency
You provide	The task or steps	**The goal and boundaries**
AI decides	Very little	**Many next steps**
Your role	Script writer	**Director**
Common failure	A step is done badly	**The goal or boundary is misunderstood**

A single project may use all three modes. Mode 2 makes agency systematic.

The second half of agency

The part beginners miss, and the part this book is built on.

> **“A human configures AI to independently perform future tasks, including for others , on their behalf.”**
>
> The AI Fluency Framework's definition of agency

Future

You are not in the room. You set the AI up on Monday and it handles Thursday's work while you are asleep.

For others

The person served may not be you. You configure it; your customer, student, or colleague is the one who talks to it.

Agency is the mode where you get out of the chair, so the judgment has to be built in beforehand.

Delegation: three parts

A simple framework for getting more done with AI.

1 Problem awareness

Know your goal and the work required. Define what success looks like.

2 Platform awareness

Know what AI systems can do and cannot do. Choose the tool that fits this task.

3 Task delegation

Divide the work deliberately. Assign ownership for each part and why.

Domain expert first. AI delegator second.

AI accelerates expertise. It rarely replaces it.

Delegation is workflow design, not task offloading.

Delegation in practice

Splitting one job, creating a course, into parts with a deliberate owner.

Task	Best owner	Why
Decide the audience and learning goals	**Human**	Requires purpose and judgment
Suggest possible course structures	**AI + human**	AI gives breadth; human chooses
Draft sections from an agreed outline	**AI**	Fast at first drafts
Verify factual claims	**Human**	Accountability stays with the author
Improve grammar and consistency	**AI**	Good fit for mechanical review
Approve the final course	**Human**	Your name and reputation are attached

The better question is not “Can AI do this?” but “Which parts should AI do, which should I do, and why?”

Description: three parts

AI cannot read your mind. State everything relevant.

Product description

What you want

Output, format, audience, length, style, exclusions.

Process description

How to approach it

Steps, methods, order, examples to follow.

Performance description

How to behave with you

Concise or detailed, challenging or supportive. At system scale, a deployed agent's standing rules.

At scale, description becomes context engineering: designing everything the AI needs to succeed, not the wording of one message.

Completeness beats cleverness. The best prompt is not clever. It is complete.

Vague versus complete

Two requests for the same summary. Same model, same three seconds of work for the machine.

Vague

“Summarize this report.”

Competent, grammatical, and completely generic. The AI had nothing to work with.

Complete

“Summarize this quarterly financial report for senior executives who have ten minutes to read. Focus on revenue trends, major risks, and recommended actions. Use short bullet points and keep it to one page. Highlight any figure that changed significantly from last quarter. Avoid unnecessary accounting jargon.”

Audience, time, topics, format, length, exclusions.

The second request is not more intelligent. It is more complete.

From prompt engineering to context engineering

Where Description scales into architecture.

Prompt engineering asks

“How should I phrase this message?”

Context engineering asks

“What information must be available for the AI to succeed?”

- Documents
- Examples
- Memory
- Conversation history
- Policies
- Tools
- Database records
- Definitions
- Instructions

In the Agent Factory: a system prompt makes performance persistent, a SKILL.md makes process reusable, a System of Record holds the knowledge and rules.

A beautifully written prompt cannot rescue an agent with the wrong data, missing rules, or no tools.

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Checkpoint 1

A clinic manager types “build me a system for following up with patients who miss appointments.” The output looks impressive but is unusable. Which competency failed?

A **Delegation:** nobody decided who may be contacted, after how long, in what tone, and which decisions a human keeps.

B **Discernment:** she accepted a polished answer without checking its claims against a reliable source.

C **Description:** the request was too short; a longer, better-worded prompt would have worked first time.

D **Diligence:** patient follow-up is regulated work and a consumer AI service was never approved for clinical records.

Answer from the reasoning, not the wording. Which D is this really testing?

Discernment: three parts

Description asks “Did I explain the job?” Discernment asks “Did the AI actually do it well?”

Product

Is the result any good?

Check against what you asked for, against the source material, and against your field's standards. Would an expert find it credible? Would you put your name on it?

Process

Is this way of working paying off?

Is it adapting to feedback or drifting back? Repeating a corrected mistake? Are you editing its draft more heavily than writing it yourself?

Performance

Are people well served when you are not watching?

A tutor can answer every question correctly and still be a bad tutor. This shows up only in the aggregate, so it becomes infrastructure.

Automation bias: the human tendency to trust an automated answer too easily, especially when it looks confident or professional. When the process is not working, three escalating moves: change the performance description, change the tool, take the task back.

AI can increase the speed of expert work. It does not remove the need for expertise.

Four signs of a made-up answer

A hallucinated answer can look identical to a correct one. Fluent writing is not proof.

Specifics that are too exact

“Vendor A delivered 99.97% of orders on time” is more suspicious than “Vendor A is reliable.” Open the source before you repeat the number.

Confidence where an expert would hesitate

A question a specialist would answer with “it depends” comes back as a flat yes. Ask what would change the answer.

Contradiction across a long output

Page 2 says a flat fee; page 6 works out a per-user cost. Long outputs drift, so read the ending against the beginning.

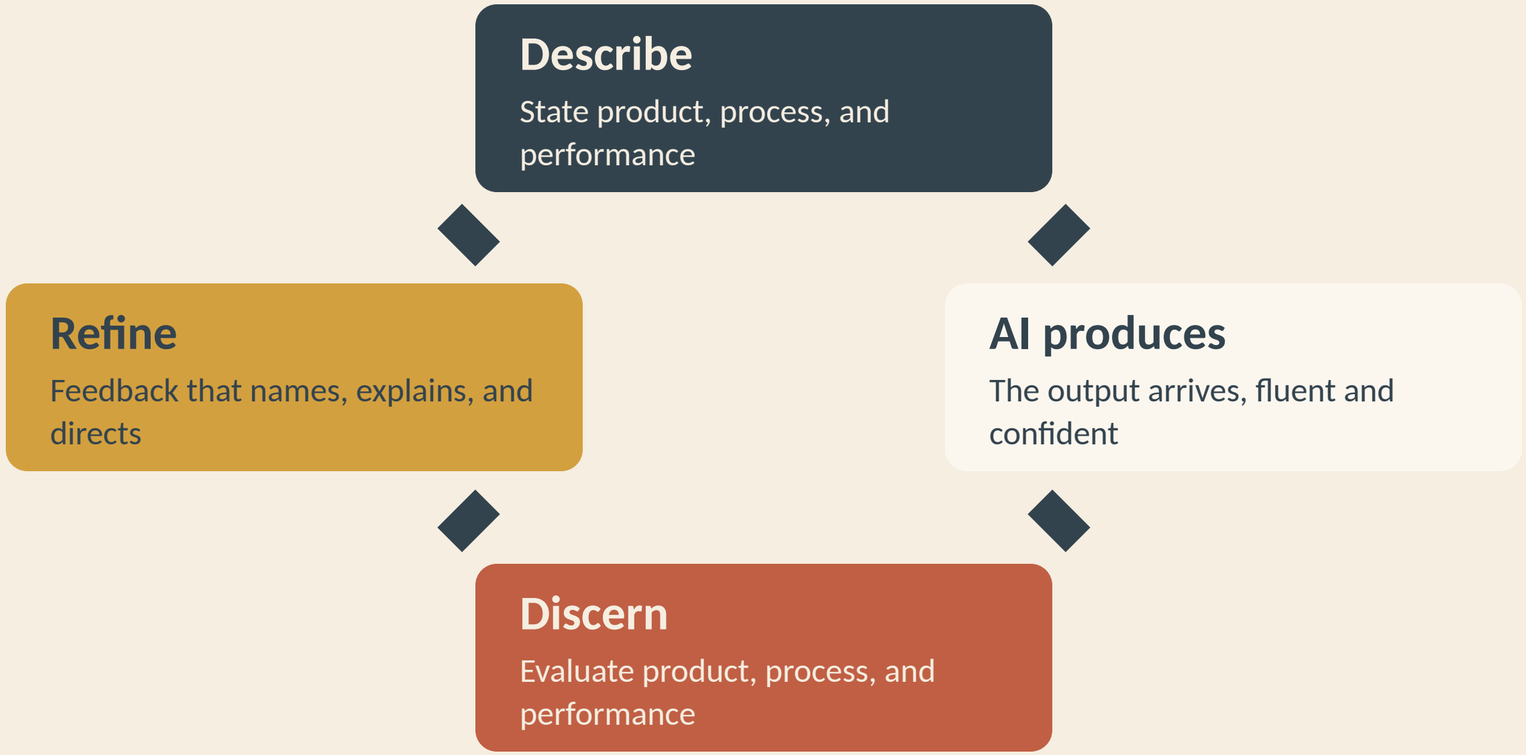
A claimed action that never happened

“I have sent the email.” “I ran the tests.” Unless the tool shows you the sent message or the test log, treat the claim as a sentence, not an event.

When accuracy matters, verify. Judging the result includes judging the case made for it.

The Description and Discernment loop

Good AI work is iterative. The first response is a draft, not the finish line.



When discernment flags a problem

Usually the fix is better description.

Sometimes it sends you back to delegation: wrong tool, wrong split, wrong approach entirely.

The loop drives quality.

Professional AI collaboration converges through iteration. It almost never succeeds in one shot.

Diligence: three moments of responsibility

The first three Ds get better results. Diligence asks: should I use AI this way at all?

Before — **During** — **After**

Creation diligence

Choose systems and data responsibly. Right tool, right data, right context.

Transparency diligence

Be honest about AI's role with everyone affected. Disclosure builds trust, concealment destroys it.

Deployment diligence

Verify and vouch before anything ships. Facts, sources, bias, rights, and policy.

“Would I confidently put my name on this?”

If not, it does not ship.

AI automates work. It does not automate responsibility.

Before it leaves your hands

The size of the check scales with reach and reversibility.

The numbers rule

Any number a decision rests on must be computed, never generated. A model predicts a likely-looking total, so the total can be wrong while every line item is right. Get it from a spreadsheet, a calculator, or code the AI ran and showed you.

When the case is unclear

Who is affected, including people who will never see it? What could go wrong for them? What would a fair outcome look like? What should be disclosed, and to whom? Answer all four and write them down, or escalate to the decision's owner.

The lecturer. Excellent AI-drafted feedback, but student names, grades, and disciplinary notes went into a consumer service the university never approved. Good output; irresponsible use. The fix was redaction in an approved tool: the AI needs the pattern, not the person.

Guessing is the one option that turns an unclear case into your mistake.

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Checkpoint 2

A team ships an AI tutor. Every answer it gives is factually correct, yet students perform worse than before. Which kind of discernment would have caught this?

A **Product discernment,** which checks each output for factual errors, missing requirements, and contradictions.

B **Process discernment,** which asks whether working alongside the AI is still paying off for the team that steers it.

C **Performance discernment,** which asks whether the AI's independent, user-facing behavior serves the people meeting it.

D **Creation discernment,** which checks that the training data and connected systems suited the audience.

Correct answers and worse outcomes: what does that combination tell you?

The 4Ds and the 10-80-10 Rule

Human judgment at the boundaries of AI work.

First 10%

Human sets direction

Delegation **Description**

Decide what AI should do. Give it goals, context, constraints, and boundaries.

Middle 80%

AI executes

Research, analyze, generate, code, transform, coordinate

AI performs the production work within the direction already set.

Final 10%

Human verifies

Discernment **Diligence**

Judge accuracy, usefulness, safety, and readiness. Take responsibility for the outcome.

Diligence across all 100%

Before: approved tools and data

During: guardrails and permissions

After: review, disclosure, accountability

Delegate it. Describe it. Let AI do it. Discern it. Own it.

The 4Ds: from chat skill to factory system

The same four disciplines at different scales.

	In a chat session		In the Agent Factory
Delegation Define the scope of what to do.	Choosing what to ask AI		**Scoping a Digital FTE, spec-driven planning**
Description Provide clear context and instructions.	Writing rich prompts		**System prompts, skills, Systems of Record**
Discernment Evaluate and judge the output.	Reviewing outputs		**Eval engines, monitoring, trusting the checker**
Diligence Act responsibly and protect what matters.	Protecting data, disclosing use		**Governance-first architecture, audit and disclosure design**

The Agent Factory does not replace AI fluency. It industrializes it.

Four common beginner mistakes

Most frustrating AI experiences can be traced to one of these failures.

Missing skill: Delegation

Prompting before defining the problem

Fix: define the goal, the audience, the constraints, and the human/AI split first.

Missing skill: Description and Discernment loop

Treating the first answer as the final answer

Fix: inspect the result, give specific feedback, and iterate.

Missing skill: Discernment

Trusting a polished answer because it sounds professional

Fix: verify important facts, assumptions, calculations, and sources.

Missing skill: Diligence

Thinking about privacy only after something goes wrong

Fix: decide data, disclosure, approval, and accountability rules before deployment.

Each mistake is one missing competency, and each has a fix you can apply tomorrow.

A checklist for every day

Before you ask AI to do meaningful work, run this quick check.

Delegate

What is the goal? What should AI do? What stays with me?

Describe

What output, context, method, and behavior does AI need?

Discern

How will I know the answer is correct, complete, and useful?

Be diligent

Is the data safe? Does AI's role need disclosure? Who approves and owns the result?

Practice this week: pick a real task and ask an assistant to walk you through the four Ds for it, one question at a time, with the plan as a short table at the end. Notice that the plan is mostly made of your answers, not the AI's.

This is not paperwork for every small task. The point is to make the four questions automatic.

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Decide what AI should do. Describe the work clearly.

Check what comes back. Own what happens next.

The AI Fluency Framework was created by Rick Dakan and Joseph Feller and taught through courses produced with Anthropic (CC BY-NC-SA 4.0). The free original course is on Claude Academy. This crash course is an independent explanation in the book's own words; the Agent Factory mappings are our extensions.

Next in Foundations: AI Prompting in 2026